ALGORITHMIC TRADING · WORK IN PROGRESS

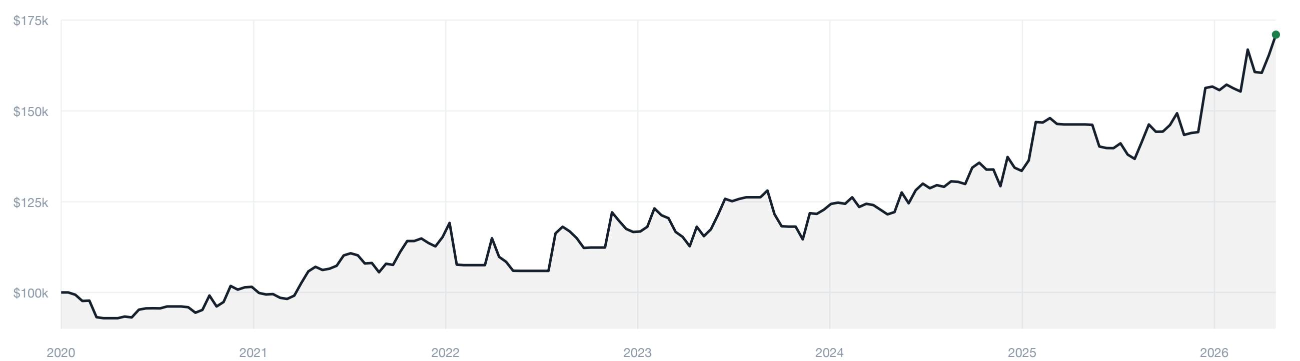
Automating a discretionary swing-trading method

A hand-traded RSI/MACD mean-reversion method (the "SID Method," reported at a **~76% win rate**) ported to code and validated honestly. **I own the strategy, the test design, and every judgment call; I use Claude Code as the implementation & automation engine** — it wrote the Python and built a one-command deploy pipeline. **Python · QuantConnect/LEAN · GitHub · Claude Code**

+70.5%	8.8%	12.4%	0.30	+4.5%
NET RETURN, 6.3 YRS	CAGR	MAX DRAWDOWN	SHARPE	2022 VS SPY −18%

EQUITY CURVE — HONESTY BENCHMARK (SURVIVORSHIP-FREE)

Survivorship-free universe · longs-only · trailing exit · 1% risk/trade — 2020 – 2026 · QuantConnect/LEAN · realistic IBKR fills



This is the **deliberately unbiased** test: the method run on a point-in-time, survivorship-free universe rather than the author's curated watchlist — it isolates edge that comes from *the method*, not from hindsight ticker selection. It held up through the 2022 bear market (+4.5% vs SPY −18%).

> **Key finding — the short side is dead.** Running the identical method on **both sides** drops it from **+70.5% to −16.0%** (max drawdown 40%): shorting overbought equities has negative expectancy, matching the published mean-reversion literature. Long-only isn't cherry-picking — it's the result of testing both.

HOW IT'S BUILT & VALIDATED

I drive

- Encode the published checklist 1:1 — RSI 30/70 entry, RSI+MACD confirmation, >14-day earnings filter, whole-number swing stop, RSI-50 exit.
- Design the validation: train/test holdout, survivorship-free universe, and cross-checks against the author's own logged trades.
- Decide what to test next — which filter to ablate, which assumption to stress.

Claude Code executes

- **Implementation** — turns the method into a parameterized QuantConnect algorithm (one compile drives every variant).
- **Automation** — a one-command deploy (**make deploy** → push · compile · backtest · ship) plus a CI'd unit-test suite.

Honest result

- **Short leg has no edge:** trading both sides cuts +70% to −16% — a documented mean-reversion asymmetry — so the deployable config is **long-only**. A finding, not a filter.
- Win rate on faithful runs **~55–58%** vs his reported **~76%**; the gap is hand discretion (one daily "top pick," chart reads, early exits), not a coding error.
- **Next:** forward paper-trade, then the options overlay he actually trades.

The point isn't the headline return — it's the **process**: a proven manual method, encoded faithfully, tested against its own bias, and wired into a repeatable deploy pipeline. **I bring the strategy and the skepticism; Claude Code is the build engine.**

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github.com/sydneywatk/trader
QuantConnect/LEAN · 2020–2026